Indian School of Business
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TEACHING NOTE

HOW TO CREATE A MACROFINANCIAL CRISIS

Professor Shekhar Tomar and Sushreeta Mohapatra developed this teaching note solely as an aid to instructors in the use of the cases *How to Create a Macrofinancial Crisis—ISB527.* This teaching note was developed under the aegis of the Centre for Case Development, Indian School of Business (ISB).

SYNOPSIS

The case is set in 2022 and examines the events that led to the financial crisis in Sri Lanka. From what was touted to be "one of the most promising new nations"[1] in the early years after decolonization, Sri Lanka went into a downward spiral over the decades, driven by weakening macroeconomic fundamentals, misguided fiscal policies, and over-reliance on foreign debt. The 2010s saw the crisis worsening, and a twin deficit problem began to loom, brought on by fiscal profligacy on the government's part, led in part by an aggressive push for infrastructure development through excessive foreign borrowing and investments in social welfare programs in the aftermath of the civil war.[2] Additionally, overspending on the non-tradable sector, financed through borrowings from the domestic and international markets,[3] created a balance of payments (BoP) problem that continued to aggravate the weakened state of the economy. The onset of the COVID-19 pandemic led to a sharp decline in earnings from exports, tourism, and remittances, the major sources of Sri Lanka's forex earnings. This in turn impacted the country's ability to pay for imports of oil and other basic commodities. The government's attempts to stem the forex outflow through arbitrary measures such as the sudden ban on fertilizer imports, devaluation of the currency, and monetization of its debts through the Central Bank of Sri Lanka (CBSL) led to runaway inflation and further worsened the situation. The Russia–Ukraine war in 2022 then drove up crude prices, an external shock that tipped Sri Lanka into a full-blown BoP crisis.

By February 2022, Sri Lanka's public debt had become unsustainable, and as inflation surged, the country was deep in a BoP crisis. For business leaders such as Jon Satchi, the protagonist, the situation also presented a conundrum: do economies with high levels of debt and slow post-pandemic recovery present an opportunity or risk for investments?

Instructors could use this case to illustrate the impact of macroeconomic indicators on business continuity and investment risk in volatile economies.

LEARNING OBJECTIVES

After reading this case, students should be able to:

- Analyze the factors that contributed to the BoP crisis.
- Identify how fiscal mismanagement, policy decisions, and high levels of debt can lead to such large-scale economic crises.

- Identify the interaction between fiscal policy, monetary policy, and debt in an open economy context.
- Apply the fundamentals of macroeconomics to business contexts.
- Understand the importance for business managers of monitoring macroeconomic indicators.

Instructors may briefly discuss the mitigation strategies that managers or companies can implement when capital is trapped in distressed economies. However, this discussion falls outside the scope of the present case.

COURSE POSITIONING AND TARGET AUDIENCE

The case is ideal for use in core courses on macroeconomics, public policy, and applied macroeconomics in undergraduate, graduate, and executive education programs in management. When used at the end of a course, the case presents an opportunity for students to apply the macroeconomic theories they have learned to a real-world setting, illustrating how the interaction between macroeconomic forces can culminate in a crisis.

DISCUSSION QUESTIONS

1. Identify the issues that led to the BoP crisis in Sri Lanka/macro issues that built up to the crisis.
2. How did the BoP crisis come into being? Could the government have done anything differently?
3. What are the takeaways for managers from these kinds of crises?

TEACHING PLAN

The case is ideal for use in a 90-minute class. The instructor may choose to assign the case for reading in the class and discuss the case over the course of a longer session. An alternative is to assign the case as a pre-read and use part of the session to discuss the questions.

A tentative teaching plan is presented as follows:

Reading and preparation (optional) – 20 minutes
Case introduction (and recap) – 10 minutes
Discussion – 50 minutes o Events leading to the crisis – 15 minutes o Government response to the crisis – 10 minutes o Buildup to the BoP problem – 15 minutes o Takeaways for managers – 10 minutes
Conclusion and Wrap-Up – 10 minutes

ANALYSIS

To begin the discussion, the instructor may do a quick recap of the case facts, beginning with the state of the Sri Lankan economy in the early decades after its Independence. The instructor will find it useful to turn to the case exhibits when illustrating the issues that affected the economy.

1. Identify the issues that led to the crisis in Sri Lanka/macro issues that built up to the crisis.

To open the discussion, the instructor could point out that the 2022 crisis was not an isolated event and and ask the students to identify the various factors that built up over the years and contributed to it. From the case, students should be able to identify the following issues that led to the buildup of the crisis:

a. **Poor fiscal management by the government**: The tax cuts in 2019 were not followed by an equivalent reduction in government spending. With debt already higher than that in peer economies (those with similar per capita gross domestic product [GDP] levels), this attempt to stimulate growth was highly questionable.

b. **Overspending on ambitious infrastructure projects**: Between 2010 and 2016, the Sri Lankan government began spending on ambitious infrastructure projects such as the Hambantota port and the Mattala airport. The students should be able to check and verify that the debt financing of these projects with unclear economic gains only burdened the economy further.

c. **High levels of debt (and sovereign debt mix)**: Even before the COVID-19 pandemic, Sri Lanka's total public debt was close to 90%, of which the external debt was nearly 60%. This later took a toll on the forex reserves of the country because the debt repayments had to be made in USD, a currency already in short supply within the Sri Lankan economy.

Next, the instructor may focus on the immediate triggering events that led to the crisis:

a. **External shocks**: The COVID-19 pandemic and the consequent lockdowns generated major external shocks that jolted the Sri Lankan economy, which was heavily dependent on tourism, agricultural exports, and remittances. The pandemic led to a drop in tourist arrivals, directly affecting tourist revenue; a decline in agriculture, manufacturing, and the services sector; and a decline in remittances from expats due to exchange rate instability and inflation. Further, the crude oil price increase due to the Russia–Ukraine war had a large impact on the economy because Sri Lanka is primarily dependent on imported oil.

b. **Loss of investor confidence**: The loss of access to international markets due to the ratings downgrade by global credit ratings agencies in 2020 also added to the pressure on Sri Lanka's forex reserves. Foreign investors lost confidence in the Sri Lankan economy and domestic citizens were unwilling to lend to the government, forcing the government to rely on the CBSL. The countermeasures, which included printing and circulating more money in the economy, led to an unprecedented spike in inflation levels (see Case Exhibit 6). This further destabilized the economy and accelerated the depletion of foreign exchange reserves. One could also discuss how the sovereign risk premium can increase sharply during crises.

c. **Policy missteps**: The sweeping tax cuts enforced by the new government before the pandemic (in 2019) as a populist measure, without any accompanying cuts on spending, led to a sharp decline in the country's revenues, at a time when it was already suffering from the effects of the COVID-19 pandemic. Another example is the government's sudden move to ban the import of fertilizers in 2021 in a bid to stem the outflow of US dollars from the economy. This, however, backfired: harvests failed and production of major agricultural crops fell, leading to a price rise. The plantation industry, which contributed significantly to exports and forex revenues, also suffered significant losses due to crop losses. As a result, Sri Lanka had to resort to importing several basic commodities, further depleting its forex reserves and depreciating the exchange rate.

To conclude this part of the analysis, the instructor may encourage the students to think about how these issues finally contributed to the BoP problem, setting the stage for a discussion of the next question.

2. **Evolution of the BoP crisis: Where did the government go wrong? What could it have done to avoid the crisis?**

To identify what led to the BoP crisis, it is essential that the students first understand its genesis. To this end, the instructor may split the discussion of this question into three parts—in the first part, discuss how Sri Lanka earned and spent USD dollars and how these led to the BoP crisis; in the second part, focus on what the government could have done to avoid the crisis; and finally, encourage the students to think about alternative measures the government could have taken to avoid the BoP crisis and the subsequent macroeconomic crisis of 2022.

Part 1

The exhibits should enable the students to identify the sources of US dollar inflows and outflows for Sri Lanka, which clarify the BoP position of the economy. As the students list the sources, the instructor could also simultaneously link them to how this dynamic changed during this episode (US dollar inflow decreased, while the outflow increased):

US dollar inflow

- **Exports**: Sri Lanka's plantation agriculture segment, primarily tea, coffee, and coconut, contributed nearly 90% of the country's foreign exchange. With the global restrictions on imports and exports during the COVID-19 pandemic, these exports slowed. Further, in 2021, after the government imposed a sudden ban on fertilizer imports, the plantation sector suffered heavy losses from poor harvests, leading to a further decline in export earnings.
- **Tourism**: Another source of Sri Lanka's foreign exchange earnings was the tourism sector. Before COVID-19, the contribution of tourism to Sri Lanka's GDP was greater than 10%.[4] With the pandemic, this number slipped drastically (see Case Exhibit 1), and the sector did not pick up significantly even after the lockdown restrictions were eased.
- **Remittances**: Sri Lanka was also dependent on worker remittances for its foreign exchange inflows. Referring to Case Exhibit 5, the instructor may point out that before—and even during—the pandemic, remittances remained in the range of USD 6 to 8 billion. However, with the hyperinflation brought about by the CBSL's liquidity injection, these numbers declined, leading to a fall in the country's remittances, and hence dollar earnings.

US dollar outflow

- **Oil imports**: Sri Lanka is a net importer of oil, which means that its imports exceed its exports in value. These imports were paid for in US dollars, and with the end of the COVID-19 pandemic and the start of the Russia–Ukraine war, the cost of importing oil suddenly increased, adding to the pressure on the already stretched foreign exchange reserves.

- **Fertilizer imports**: The plantation agriculture segment of Sri Lanka, which accounted for a fair share of the country's exports, also depended on fertilizer imports for cultivation, adding to the US dollar outflows. However, the government imposed restrictions on these imports in 2021.
- **Interest payment on foreign debt**: For several decades, Sri Lanka had relied on foreign debt to finance its fiscal requirements. Borrowings increased manifold in the aftermath of the end of the civil war in 2009 as the government embarked on a slew of ambitious infrastructure projects, all through debt financing. The interest payment on these debt was a major source of the US dollar outflows. With the sharp increase in risk premium, sovereign debt payments increased significantly.

Furthermore, the sharp depreciation of the Sri Lankan rupee worsened the crisis, eventually freezing the forex market as buyers of the Sri Lankan rupee disappeared.

Part 2

In the next stage of the discussion, the instructor may ask the students to think about what went wrong for the government as it attempted to deal with the emerging BoP crisis. The students will be able to identify clear fiscal mismanagement on the part of the government—debt financing of ambitious infrastructure projects with questionable economic returns in the 2010s, high welfare payments, and sweeping tax cuts in 2019, without measures to rein in spending—that depleted the government's resources. These long-standing issues created the perfect conditions for external shocks to disrupt the Sri Lankan economy.

The students will also be able to point out that even as the first signs of the crisis began to emerge, the government acted myopically, which worsened the situation. This included the sudden ban on the import of fertilizers. Although this was supposed to stem the outflow of foreign exchange, the harvest in the next period failed significantly due to unavailability of fertilizers. In the end, Sri Lanka ended up using its forex reserves to import rice and other essential commodities to support its people.

The financing of the fiscal deficit by the CBSL also contributed to the decline, creating inflationary pressures that came on top of the rising costs of imports and interest payments on foreign debt. Here, instructors could mention the importance of an independent monetary policy.

Overall, the key takeaway is best illustrated by the "Swiss cheese" analogy: multiple holes had to align for the crisis to materialize, and the problems began long before the final trigger in 2022.

Part 3

Could the Sri Lankan government have done things differently? With this question, the instructor could ask the students to think beyond the case facts and apply their learnings from the course. The responses from students may be along the following lines:

a. **Maintain fiscal discipline**: If the Sri Lankan government had been more prudent in its spending, it could likely have kept its deficits under control. For instance, the tax cuts of 2019 could have been delayed; instead, the government could have waited for an opportune moment when government debt levels were much lower than 90%.

b. **Economic evaluation of infrastructure projects**: The debt financing of some ambitious infrastructure projects, mostly from foreign sources, added to the country's external debt burden. If these projects, which later failed to generate the projected returns, had been evaluated more carefully, it is likely that the country's debt burden would not have escalated as it did. For example, with Colombo already operating as a highly efficient port, the rationale for building another large port in a small economy like Sri Lanka is difficult to justify.

c. **Independence of the central bank**: The CBSL's financing of the fiscal deficit led to an erosion of public trust in the central bank, which was unable to prioritize its role of managing inflation.

d. **Strengthen forex reserves**: The signs of depleting forex reserves had emerged much before the COVID-19 pandemic. A more proactive approach on the part of the government to stem the outflows of foreign currency and boost the inflows could have delayed or even prevented the BoP crisis. As a more long-term plan, diversifying the economy might have reduced vulnerability, because Sri Lanka relied heavily on tourism, agriculture, and remittances for foreign exchange earnings.

e. **Sovereign debt**: The over-reliance on foreign debt, which ultimately led to the BoP crisis, could have been avoided to some extent.

Before concluding the discussion, it would be prudent on part of the instructor to add a caveat that the suggested measures need further investigation before formulating concrete policy advice. In the real world, other complexities affect economic outcomes, making optimal economic policy decisions politically infeasible or difficult.

3. What are the takeaways for firm managers?

This question provides an opportunity to analyze the core dilemma presented in the case through a managerial perspective: *Why should managers and business leaders such as Satchi be concerned about a macroeconomic crisis such as the one faced by Sri Lanka?*

A clear answer that will emerge in the class discussion is that if a country's economy is unstable or in the midst of a crisis, the business environment becomes unfavorable. Such a crisis exposes businesses already invested in such countries to large macro risks that can adversely impact firm operations and revenues. In such crises, sales growth may suffer, or the firm may even exit.

But can managers and business leaders preempt such crises? This underscores the importance of looking beyond the surface and examining macroeconomic fundamentals such as forex reserves, debt-to-GDP ratio, fiscal deficit, and inflation trends, more so if the business operates in sectors that rely on the country's economic stability, such as the hospitality industry in Satchi's case. Although monitoring every macroeconomic indicator may be impractical, sovereign credit ratings can provide a practical benchmark for gauging a country's economic health. The instructor may also mention the large number of countries whose rating was downgraded in the aftermath of COVID-19.

What should managers do?

Businesses considering investing in countries facing economic volatility must also factor in internal and external shocks that can potentially affect their sector or the overall economy. In the case of Sri Lanka, a series of internal and external shocks, such as the tax cuts of 2019, the COVID-19 pandemic, global oil price surges, and hyperinflation, among others, created conditions that affected the tourism (and consequently the hospitality) sector, making investments in the country risky.

The instructor may conclude by observing that if macroeconomic indicators are ignored, businesses may be blindsided. *You will only see Instagram reels of the crisis when it is already happening.* And by then it would be perhaps too late for the business to mitigate the impact of the crisis.

THE AFTERMATH OF THE CRISIS

After facing its worst economic crisis and declaring bankruptcy in April 2022, Sri Lanka descended into a period of political instability, and a new government was ushered in. The new government secured a USD 2.9 billion bailout package from the International Monetary Fund (IMF) for debt restructuring and revenue stabilization.[5] Structural reforms were undertaken as part of this bailout package, which put the Sri Lankan economy on the path of recovery. By mid-2023, inflation had dropped to single digits from its near-70% rate in 2022.[6] In 2024, the economy grew by 5%, coming on the back of recovery in the construction and tourism-related services sectors.[7] By the end of 2024, forex reserves had also risen to USD 4.7 billion, worth 3 months' imports, and inflation had stabilized. The positive trend continued in the first quarter of 2025, with the economy expanding by 4.8%, reflecting continued resilience.[8] However, the cost of the crisis has been immense: Sri Lanka effectively lost a decade, with per capita GDP in 2024 still similar to levels last seen in 2017.

ENDNOTES

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